
GREECE

2005

1. Overview of the system

1.1. Average Wage (AW)¹

For the year of 2005 the average gross income of an employee is 14203 Euro.

2. Unemployment insurance

The unemployment insurance scheme covers persons, who are insured against sickness at a social insurance body. The benefits are divided into regular allowances and special aids. Such scheme concerns salaried employees who have been unemployed against their will and cannot find a job relevant to their qualifications.

2.1. Condition for receipt

- The person must be able to and available for work.
- The person must be involuntarily unemployed.
- The person must be registered with an employment agency.
- The person must not receive pension equal to or greater than the minimum pension provided by I.K.A. (Social Insurance Institution).
- The person must not be self-employed.

2.1.1. Employment conditions

- 125 days during the last 14 months before the application was filed; or
- 200 days during the last 2 years before the application was filed.

The applicants for the first time must have worked for at least 80 days during the last 2 years before the application was filed.

2.1.2. Contributions conditions

The system is contributory. The contributions in favour of O.A.E.D. (Manpower Employment Organization) are paid by the employer and the employee.

2.2. Calculation of benefit amount

2.2.1. Calculation of gross benefit

Article 12, Law 2224/1994 stipulates as follows:

‘the basic allowance shall be 40% of the day wage or, in case of employees, 50% of their salary on condition that the allowance shall not be less than 2/3 of the day wage of an unskilled worker or greater

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2004-2005, OECD, 2005, part 5, sections 2 and 3.

than the amount defined from time to time by decision of the Minister of Labour upon recommendation by the Management of the Manpower Employment Organization.'

The basic daily allowance is 12.45€ and the basic monthly allowance is 311.25€. The maximum daily allowance is 13.14€ and the maximum monthly allowance is 329.25€. The allowance is paid for 25 days per month. There is a surcharge of 10% for every dependant.

2.2.2. *Income and earnings disregards*

None. The payment of the allowance shall be interrupted, when there is an income from any other source.

The payment of the unemployment benefit may be combined with a part time employment in case the monthly remuneration of the worker for his/her part-time job is less than the approved amount of the monthly unemployment benefit. But in this case, the OAED will offset the amount paid as benefit with the amount received as salary for the part-time job and it will pay the difference to the beneficiary.

In case the beneficiary's monthly remuneration for his/her part-time job exceeds the amount of the monthly unemployment benefit, the payment of the benefit is suspended due to the taking up a post. This regulation has been applied since beginning of 1990.

2.3. *Tax treatment of the benefit*

Not taxable.

2.4. *Benefit duration*

After a waiting period of 6 days, the allowance is paid during a period differing according to the history of person's employment:

<u>Employment record (days)</u>	<u>Benefit duration (months)</u>
125-149	5
150-179	6
180-219	8
220-249	10
250+	12
210 days and 49+ years old	12

In all cases, the duration of allowance granting is 12 months, if the applicant has accumulated 4,050 or more work stamps.

2.5. *Treatment of particular groups*

2.5.1. *Young people*

Persons, who are 20-29 years old and have not worked previously, are covered by the insurance scheme for payment of an allowance for 5 months:

<u>Marital status</u>	<u>Monthly amount (Euro)</u>
One parent	73.37
Couple	79.24
Either one parent or couple with children	5.87 for each child

2.5.2. *Older workers*

A pension is paid to uninsured senior citizens older than 65 years. Such pension is equal to the basic pension granted by the O.G.A. (Agricultural Insurance Organization). The Agricultural Insurance Organization grants such pension by order of the Ministry of Employment and Social Protection.

The pension amounts to:

- 219.95€ for a married person with a child younger than 18 years
- 215.00€ for a married person with a spouse younger than 65 years
- 212.04€ for a person without any family burdens.

3. Unemployment Assistance

3.1 Special aids (conditions and duration)

3.1.1. Special aid after the end of payment of the unemployment allowance

The daily amount is 12.45€, when the annual income of the unemployed person does not exceed 7,630.23€.

3.1.2. Special aid after a three-month registration in the unemployed persons list

It is paid to unemployed persons who do not fulfil the requirements of regular allowance (do not belong to seasonal unemployed persons) and have completed at least 60 days of work during the year preceding the year of their registration with the Manpower Employment Organization. The unemployed persons must not have an annual income greater than 7,630.23€. In this case, the daily allowance is 12.45€. The allowance is paid every three months in three instalments within the same year.

3.2. Income and earnings disregards

None. The payment of the allowance shall be interrupted, when there is an income from any other source.

3.3. Tax treatment of benefit

Not taxable.

3.4. Treatment of particular groups

3.4.1. Young people

Allowance for young people (20-29 years old). The allowance is paid to young people on condition that they are unemployed and have been registered in the unemployed persons list for one year. The allowance is 73 Euro per month and is paid for a period of 5 months. It aims at supporting the new entrants in the labour market.

3.4.2. Long-term unemployed persons

The Manpower Employment Organization pays an allowance to long-term unemployed persons. Long-term unemployed persons are those who have completed 12 months of unemployment incessantly, are registered in the unemployed persons list of the Manpower Employment Organization and have used up the right or regular 12-month subsidy. Moreover, the annual family income must not exceed 5,000 Euro. Such income is increased by 587 Euro for every minor child.

The amount of the allowance is 200 Euro and is granted for 12 months.

3.4.3. Seasonal aid

Such aid is paid to professional categories characterized by their seasonal nature (construction workers, tobacco workers, actors, potters, forest workers, musicians, etc.). It is paid on an annual basis from 1/10 to 20/12. The prerequisites are:

- They must have completed 50-210 days of work, as the case may be, in the pertinent branch during the year preceding the year of payment.
- They must not have more days of work in branches other than the pertinent branch during the previous year.
- The total days of any work must not exceed 240.
- They must not fulfil the requirements of regular allowances during the year of payment of the seasonal aid.

3.4.4. *Worker laid off due to insolvency of the employer*

The Manpower Employment Organization shall keep an independent account entitled 'Account for the protection of employees from employer's insolvency'. The aim of the account is the payment of outstanding, due to employer's insolvency, earnings for up to three months deriving from a dependent work contract or relation.

4. **Social assistance**

There is no general framework, but there are provisions for persons who are in great need. The Ministry of Health and Social Solidarity has currently in progress 11 schemes of financial support (subsidy) for disabled persons according to the kind, category or percentage of disability.

As stipulated by the provisions of Law 1140/1981 and the Joint Ministerial Decision no 61384/6138/19-5-1983 of the Ministers of National Defence, Interior, Justice, Finance, Health and Social Solidarity and Public Order, as amended and currently in force, the Ministry for the Interior finances the first-degree Local Government Organizations for the coverage of the tetraplegia and paratetraplegia allowance to the employees of the Local Government Organizations and the members of their families suffering from such diseases.

To this day during the current year (2005), 44 Local Government Organizations of the country have been financed with the amount of 443,168.00€ by the appropriations mentioned in article 25, Law 1828/1989, in accordance with the data of the Local Government Organizations, for the number of beneficiaries of the aforementioned allowance.

5. **Housing allowances**

5.1. ***Conditions for receipt***

The beneficiaries of the Workers Housing Organization, in order to receive the financial support of rental allowance, must fulfil the insurance and other requirements of the By-law 'on requirements for the granting of residence and loans by the Workers Housing Organization', that is, they must have completed a certain number of days of work according to their family composition, and they or their dependants must not have a privately-owned house or other property whereby they can afford to purchase a house.

The status of pensioner suffices for the participation in the scheme of rental allowance for the year of 2005 with respect to the pensioners - beneficiaries of the Workers Housing Organization. As regards the long-term unemployed persons who are beneficiaries of the Workers Housing Organization, provided that their unemployment and its duration are ascertained, they may obtain a rental allowance for the period during which they receive an allowance by the Manpower Employment Organization, as well as for two years after the end of such allowance payment.

5.2. Calculation of the benefit amount

5.2.1. Calculation of the gross benefit (per month)

Individual persons and couples	105€
With one dependent child	130€
With two dependent children	155€
With three dependent children	205€
With four dependent children	205€

The amount of the allowance is increased by 25 Euro per month for every dependent child beyond the fourth child.

The above amounts of rental allowance are increased by 50% per category for the following beneficiaries of the Workers Housing Organization who participated in the scheme of rental allowance in the year of 2005:

- a. Long-term unemployed persons and beneficiaries who became unemployed due to termination of their work contract within 2005;
- b. Beneficiaries who are unemployed and within 2005 moved away from the place of their permanent residence and found a job in another Prefecture;
- c. Beneficiaries whose net family income for the financial year of 2005 is less than 7,500€.

5.2.2. Income and earnings disregards

The rental allowance is granted to low-paid beneficiaries, whose annual net family income for the financial year of 2005 does not exceed 11,000 Euro. Such amount is increased by 2,000 Euro for every dependent child.

Annual family income is considered to be the net income from any source of any nature, as it appears in the tax return for the financial year of 2005, other than the one-off dismissal pay, accident compensation paid by an insurance company, unemployment allowances, deposits interests, paraplegia-tetraplegia allowances, three-children allowance, blindness allowance, total disability allowance, allowance for families with 4+ children, rental allowance received in the previous year, childbirth allowance, back pension for the previous year, income from the sale of property in the previous year, Pensioners' Social Solidarity Allowance (E.K.A.S.) and any amount received as subsidy from training and instruction programs.

5.3. Tax treatment of the benefit

Not taxable.

5.4. Benefit duration

The scheme lasts one year and the allowance is paid once as a lump sum. The scheme is repeated every year, as long as the requirements from time to time are fulfilled.

5.5. Treatment of special groups

Granting of financial assistance from the Special Solidarity Fund (E.K.A.) of the Workers Housing Organization to the beneficiaries thereof, who cannot pay off their debts from housing loans or from a price

for houses due to intense social and financial needs, such as the long-term unemployment, serious health problems of the beneficiary or his/her dependants, damages from natural disasters, etc. The financial support is granted in two six-month instalments.

Moreover, the granting of financial assistance from the Special Solidarity Fund was extended to cover the outstanding instalments from loans granted by banks, with subsidized rate by the Workers Housing Organization, to beneficiaries working for employers, who have been declared bankrupt. The financial support is granted for the period between the time of payment suspension, as determined by a bankruptcy judgement, and the service of termination of the work contract by the receiver in bankruptcy.

6. Family allowances

There is a general scheme and supplementary amounts on employer's part.

6.1 Condition for receipt

The children must be younger than 18 years or younger than 22 years if they study. They must be single and reside either in Greece or another country of the European Union. The prerequisite for the payment of family allowances is the completion of 50 days of work during the year preceding the year when the application was filed.

6.2 Calculation of the benefit amount

6.2.1. Calculation of the gross benefit (per month) (General scheme)

The amounts of the allowances following the adjustment for the year of 2004 are as follows:

1 child	8.22€
2 children	24.65€
3 children	55.47€
4 children	67.35€
For every additional child	11.298€
Adding:	
For every child born after 1/1/1982	2.93€
Special allowance for large families:	
3 rd child (until the age of 6)	149.63€
Families with 4 or more children	37.41€ per child
Pension to the mother of 4 or more children (FOR LIFE)	86.05€ per month

The employer usually grants 5% of the gross earnings to every employee (whether married or not) for each child adding 10% for the wife. The aid for the wife is independent of her employment status and her income.

6.3. Tax treatment of the allowance

General scheme: not taxable. The allowance by the employers is added to the gross income before tax. The allowances for the 3rd and 4th child or more children are taxed by 10% independently of other income and may be included in the income tax return and taxed in accordance with the general provisions of article 9, Law 2238/1994 (paragraph 4, article 57, Law 2238/1994).

6.4. *Treatment of special groups*

The allowances are increased in case the beneficiary is a widow or has a disabled husband who serves his military duty.

Maternity allowances: They are financial benefits granted due to maternity to employed women who cannot request them from their insurance fund or who are uninsured. They are granted for a period of six weeks before the childbirth and aim at ensuring satisfactory living standards. The allowances amount to 440.20 Euro (220.10 Euro before the childbirth and 220.10 Euro after the childbirth).

Scheme for the support of unprotected children: according to this scheme a monthly allowance of 44.02 Euro is paid to every unprotected child until he/she attains the age of 16, provided that the monthly income of the family, with which the child lives, does not exceed the amount of 234.78 Euro for a three-member family (such amount is increased by 20.54 Euro for every member of the family beyond the 3rd child).

7. **Child care allowances**

The Workers' Home Organization (Public Law Entity supervised by the Ministry of Labour and Social Insurance) operates 22 model Nursery Centres and considers the establishment of other seven (7) Centres. Seven of the Nursery Centres of the Workers' Home Organization are within the limits of the Prefecture of Attiki and fifteen are in big provincial towns, in Municipalities with a great number of human resources, as follows: Nursery Centres of Attiki in the Municipalities of Aghia Varvara, Aspropyrgos, Ano Liosia, Elefsina, Keratsini, Moschato and Peristeri. Nursery Centres of the Province in the towns of Agrinio, Arta, Drama, Igoumenitsa, Ioannina, Kalamata, Karpenisi, Komotini, Mesolongi, Naousa, Xanthi, Patra, Pylea Thessaloniki, Serres and Trikala.

The Centres operate in buildings owned by the Organization, which have been constructed to function as preschool education institutions complying with all safety, hygiene and functionality standards. The total surface area of the buildings is 23,500 square meters, which have been mainly developed on a ground floor level. The material and technical equipment is according to the standards of modern pedagogics and serves the pedagogic programs and activities in those institutions. They concern children of preschool age from the age of eight months on the date of their enrolment (ten months when accepted by the centre) until school age; they also concern strictly children of parents who are beneficiaries of the benefits of the Organization.

During the school period 2004-2005 approximately 1,100 infants - babies were hosted by our said Centres. 104 educators of two-year, four-year and five-year education and 120 persons of administrative and assisting personnel (administrator, social worker, etc.) were employed.

The operating expenses (catering - petty expenses - bonuses for children) of the Nursery Centres of the Organization for the financial year of 2005 have amounted to this day to 951,438.52 Euro.

22 Nursery Centres of the Organization continue to operate as follows:

- Nursery Centres of Attiki in the Municipalities of Aghia Varvara, Aspropyrgos, Ano Liosia, Elefsina, Keratsini, Moschato and Peristeri.
- Nursery Centres of the Province in the towns of Agrinio, Arta, Drama, Igoumenitsa, Ioannina, Kalamata, Karpenisi, Komotini, Mesolongi, Naousa, Xanthi, Patra, Pylea Thessaloniki, Serres and Trikala.

Moreover, the constructive program of the Organization includes the following Nursery Centres at the levels of maturity mentioned below.

- | | |
|--|------------------------------------|
| 1. Nursery Centre of Menidi | Delivery in 2006 |
| 2. Nursery Centre of the Olympic Village | Delivery in February 2006 |
| 3. Nursery Centre of Larissa | Contract signed - delivery in 2007 |

4. Nursery Centre of Chaidari	To be put out to tender (in 2005)
5. Nursery Centre of Ilio	To be put out to tender (in 2005)
6. Nursery Centre of Kavala	To be put out to tender (in 2005)
7. Nursery Centre of Karditsa	To be put out to tender (in 2006)
8. Nursery Centre of Argostoli	To be put out to tender (in 2006)
9. Nursery Centre of Pyrgos	To be put out to tender (in 2006)
10. Nursery Centre of Ilioupoli	Procedure for acquiring a plot

7.1 Out-of-pocket childcare fees paid by parents

For improving children's living conditions and services rendered to them, parents paid boarding fees, depending on their family income.

National guidelines for 2004 suggest monthly boarding fees as follows:

Family income (in EUR)	Boarding fees (in EUR)*
Up to 5 898.41	Free of charge
5 868.41 – 8 804.11	20.54
8 804.11 – 11 738.81	26.41
11 738.81 – 14 673.51	35.22
14 673.51 – 17 608.22	44.02
17 608.22 – 20 542.92	52.82
Over 20 542.92	64.56

* For the 2nd child, half fees are paid

Families with more than 3 children and disabled parents (over 67 per cent) are released from the obligation of payment of boarding fees, for income up to EUR 20 542.92 (for incomes above EUR 20 542.92 the fee for the third child is EUR 20.54 and EUR 10.27 for any further children).

7.2 Child-care benefits

15% of fees paid for child and infant centers may be (deducted from gross income before tax) if at least one spouse has an income from salaries or pensions: the amount the deduction may not exceed 75€.

8. Allowances depending on employment

None.

9. Allowances for single parents

There is a fixed aid for children, who are not supported. Please, refer to family allowances.

10. Tax system

10.1. Income tax schedule

10.1.1. Tax allowances and credits

Standard tax reliefs

Reliefs for social insurance contributions: contributions to social insurance funds are not considered as taxable income.

Main Non-Fixed Tax Reliefs. Such tax reliefs concern the actual expenses incurred and are subject to a ceiling.

Non-standard tax reliefs

- *Main non-standard tax allowances related to actual expenses incurred where the amount exceeds EUR 100:*

Expenses deducted from the total net income, which are subject to a ceiling

- Donations to the State, municipalities and communities, state universities, the church and other public institutions as well as to similar private non-profit making legal persons.
- Donations to private legal persons engaged in cultural activities may be deducted up to 10 per cent of the total taxable income.
- Bank interest on mortgage and housing loans, where the loans have been used for the acquisition of the main residence and taken by the 31st of December, 2002.
- Insurance expenses for life/death/accident/sickness to a ceiling of EUR 1,100. This also includes the expense for child insurance paid annually by separated parents.
- *Non-standard tax credits related to actual expenses incurred*
 - The amount of rent paid by the taxpayer for his/her main residence in case of relocation, apart from the regions of Attica and Thessaloniki, for the first five years and provided that the taxpayer is under the age of 40 years. In addition, the amount of rent paid by a public servant for his/her main residence in case of relocation. The monthly rent should not exceed the amount of EUR 300.
 - 20 % of the amount - and up to EUR 3,000 - paid for mutual funds investing in Greek bonds and shares listed in the Athens Stock Exchange shall be deducted for a period of five years.
 - 20% of the amount - and up to EUR 500 - spent for installation of natural gas system and solar panel systems.
 - 20% of the expenses for medical and hospital care of the taxpayer and his/her dependents up to EUR 6,000. Such expenses shall be the sums paid by the tax- payer to health insurance organisations for permanent medical care.
 - The medical and hospital expenses for the children being at the taxpayer's care, even if such expenses are paid by a parent who is not living with them due to separation from the other parent, are also included.
 - 20% of the total annual amount of rent paid for the main residence, not exceeding EUR 1,000, provided that the taxpayer does not own a house with a surface equal to or larger than the rented house in the same region and that the taxpayer does not receive any rent subsidy.
 - 20% of the expenses incurred by the taxpayer or his/her dependent children for private schools or private language institutes up to a maximum of EUR 1,000 per person. The expenses paid by separated parents are also included.
 - 20% of the annual interest of mortgage loans obtained from 1st January 2003 for the taxpayer's principal residence. The relief is limited where the financed amount exceeds EUR 200,000.
 - 20% of the amount of alimony that is paid to a spouse and is adjudicated/ or agreed with notarial deed. The tax reduction can not exceed the amount of EUR 3,000. "

10.1.2. *Definition of taxable income*

Gross income less tax exemptions

10.1.3. Tax schedule

Basic tax schedule

<u>Income category</u>	<u>Tax rate (%)</u>
Up to 11,000	0
From 11,001 to 13,000	15
From 13,001 to 23,000	30
From 23,001 -	40

Starting from 2003, tax reductions allowed in the past for dependent children have been replaced by a wider zone of non-taxable income for persons whose income derives from employment and who have dependent children. The non-taxable income category for persons having dependent children increases by 1,000 Euro to 12,000 Euro when there is one child, by 2,000 Euro to 13,000 when there are two children, by 10,000 Euro to 21,000 Euro when there are three dependent children and by another 1,000 Euro for every child beyond the third. The next income scales are adjusted accordingly. It should be noted that a tax reduction of 60 Euro is allowed for every dependent child of taxpayers having an income from employment, who offer services or reside for at least 9 months per year in border areas or specific islands.

10.2. Treatment of family income

Married persons (spouses) are taxed separately on the basis of their own income but they have to submit a common tax return.

10.3. Social insurance contribution scale

The average rate paid by the employees as percentage of their gross pay is as follows:

I.K.A. 9.22%

· E.T.E.A.M. 3%

Other funds: 3.78%

The contributions to I.K.A.-E.T.A.M. are computed as percentages on the basis of the salary (or day wage) within the context of the National General Collective Labour Agreement. There is a 'ceiling' of 25686 Euro per year. However, as regards the persons who were insured for the first time after 1 January 1993: the contributions to I.K.A.-E.T.A.M. are calculated on the basis of the total salary (day wages) irrespective of the limit of higher insurance class.

The maximum gross annual limit of earnings, whereon insurance contributions in favour of I.K.A.-E.T.E.A.M. are deducted, is for the year of 2005 $2,140.50 \times 14 = 29,967,00\text{€}$ as regards the 'old' insured persons (those who had been insured for the first time until 31-12-1992). As regards the 'newly' insured persons (those who were insured for the first time on or after 1-1-1993) the corresponding maximum limit of earnings for the year of 2005 is $4,881.28 \times 14 = 68,337.92\text{€}$.

11. Part-time employment

11.1. Special rules for allowances as regards part-time employment

There is an increase of 7.5% on earnings of part-time employees, who work less than 4 hours daily.

Such provision aims at supporting those who have a few hours of part-time employment and favours a greater participation in the labour market, mainly of young people and women, persons for whom such kind of employment is the only possible due to educational, family or other commitments.

A prerequisite for the application of the provision is that the part-time employees are remunerated according to the minimum fees prescribed by the existing provisions.

The Ministry for the Interior subsidizes, from transferred appropriations of the Government Budget, first-degree Local Government Organizations of the Country to cover the salaries of part-time personnel hired within the framework of implementation of their approved plans, as well as plans of Public Law Entities for the rendering of services of a social character.

Within such framework, 232 first-degree Local Government Organizations of the Country have been financed with the amount of 13,807,400.00€ until September 2005.

11.2. Special rules on taxation and social contributions as regards part-time employment

None.

12. Policy developments

None

ANNEX - ADDITIONAL INFORMATION ON NURSERY CENTRES

The Ministry of Health and Social Solidarity ensured the establishment and financing by the Government Budget of 1,306 State Children Day Care Centres with a capacity of 78,000 babies (from 2 years old until their registration in the Primary School) and 132 Nursery Centres with a capacity of 10,000 children from the age of 8 months until their registration in the Primary School for the convenience of employed parents and poor families, with a preference to children who due to social reasons (e.g. orphan children who have lost one or both parents, children of single mothers, of divorced or separated parents, of families with 4 or more children, of parents with physical or mental disability, etc.) need a special social care.

The possibility of establishing State Children Day Care Centres and Nursery Centres has been prescribed by the provisions of article 13, Emergency Law as of 2-11-1935 'on National Children Day Care Centres' (Official Gazette 527/A), and the issuance of a Presidential Decree is required for the establishment of each of them upon recommendation by the jointly competent Ministers.

For the improvement of the living conditions of the children and of the services rendered to them, the parents paid board fees according to the amount of their family income.

It is pointed out that all State Children Day Care Centres and Nursery Centres came ipso jure under the Local Government Organizations pursuant to the provisions of article 12, Law 2880/2001 (Official Gazette 9/A/30-1-2001), and operate now as municipal and community Public Law Entities of article 203, Presidential Decree 410/1995 (Municipal and Community Code).

The operation of the new Municipal Entities (former KPS) is governed by a By-law drawn up by the pertinent Municipal or Community Councils on the basis of the Model By-law issued by decision of the Minister for the Interior and Public Administration and Minister of Health and Welfare and approved by decision of the General Secretary of the District.

The pertinent District is competent for issues of supervision and monitoring of the said municipal entities, while the operation terms and conditions fall under the competence of the Ministry for the Interior, Public Administration and Decentralization.

It should be noted that by Law 2920/2001 (Official Gazette 131 Part A) the Health and Welfare Services Supervisors' Body was established within the Ministry of Health and Welfare, which inter alia may intervene in the Agencies of the first-degree Local Government Organizations providing services in the field of Welfare in order to ascertain the quality and sufficiency of facilities and equipment,

as well as in the taking of the necessary safety measures for hygienic living conditions of the children and the personnel.

Moreover, 164 Children Day Care Centres and Nursery Centres were operated by bodies supervised by our Ministry (Patriotic Institution of Social Welfare and Assistance, National Welfare Organization, Infants Centre 'MITERA', Institution of Nursery Centres of Athens, Institution of Nursery Centres of Thessaloniki and Institution of Nursery Centres of Larissa, which were financed by the Government Budget.

The competence for such Centres, according to article 8, Law 3106/10-2-2003 (Official Gazette 30 Part A) on the 'Reorganization of the National Social Care System', was transferred to the municipalities and communities in whose administrative district they operate. The number of the registered Children Day Care Centres to this day is 1,375 and they come from 652 Municipalities and Communities.

At the same time, 193 Children Day Care Centres and Nursery Centres Organizations have been recorded. 940 of those 1,735 Children Day Care Centres and Nursery Centres (54.17%) belong to such Organizations.

Of the 1,735 recorded Children Day Care Centres and Nursery Centres:

- 1,526 are Public Law Entities or branches of Public Law Entities of the Local Government Organizations. The competence for 1,394 of those Children Day Care Centres has been transferred to the Local Government Organizations from the State;
- 36 are Agencies of the Municipalities;
- 162 are Children Day Care Centres operating within the context of a Municipal Corporation;
- there are 11 Children Day Care Centres having a Legal Form other than the one mentioned above.

Approximately 11,037 employees work now at the Children Day Care Centres.

The total number of infants and babies hosted by the Children Day Care Centres and Nursery Centres is 77,757 (71,021 babies and 6,736 infants).

More specifically, we would like to mention that 33 Children Day Care Centres and Nursery Centres have been recorded, which serve 46 disabled children in total.

Of the 1,735 recorded Children Day Care Centres and Nursery Centres, 1,148 (66%) receive board fees either on the basis of income categories of the parents or as a fixed monthly amount from 10 to 150€.

The personnel employed by the centres is hired according to the procedures in force from time to time for the employment of personnel in the Public Sector.

Charitable Societies have founded and operate 39 (non-profit) Centres, a number of which is subsidized symbolically by the Government Budget.

Approximately 1,090 Private Children Day Care Centres and Nursery Centres (private enterprises) operate as well.

The Centres founded by Charitable Societies and the

Private Children Day Care Centres and Nursery Centres operate upon relevant licence issued by decision of the Prefect of the pertinent Prefectural Self-administration in accordance with the requirements defined by the Ministerial Decision P2b/oik.2808/1997 (Official Gazette 645/B/97), as amended and supplemented subsequently.

The personnel employed at such units is hired by a natural or legal entity, in the name of which the operation licence has been issued, and such hiring is approved by decision of the Directorate or Department of Social Welfare of the pertinent Prefectural Self-administration.

The proper function of such units is monitored by the competent agencies of the Prefectural Self-administration pursuant to the provisions of article 1, Law 2345/1995 (Official Gazette 213/A/1995).

Finally, we wish to inform you that according to the Joint Decision under ref. no 4036/2001 (Official Gazette 1128/B/2001) of the Minister for the Interior, Public Administration and

Decentralization, Minister of Labour and Social Insurance and Minister of Health and Welfare, as amended subsequently, the Regional Operational Programs and the Operational Program 'Employment and Vocational Training', which have been approved in the context of the 3rd Community Support Framework, include also actions referring, as regards the Regional Operational Programs, to the function of new structures or new departments in existing structures of nursery

centres or integrated care nursery centres (department of babies with disabilities) or Children Day Care Centres or Centres for the Creative Activities of Children and/or Centres for the Creative Activities of Children with Disability, and as regards the Operational Program 'Employment and Vocational Training', to the continuation or even extension of function of the already existing structures, which were co-financed by the European Social Fund in the context of the 2nd Community Support Framework.

The responsible bodies for the management and implementation of the aforementioned actions are the Special Management Agencies of the Districts of the Country pursuant to Law 2860/2000 (Official Gazette 261/a/2000), to which the relevant requests of the final beneficiaries of such actions are submitted, which are enterprises of the Local Government Organizations and Inter-municipal enterprises and civil companies incorporated by the Local Government Organizations and aim at the social development or welfare or have an object relevant to the above.

For the year of 2005, 555 Local Government Organizations of the Country have been subsidized in order to cover operating expenses and mainly the salaries of the personnel of the Children Day Care Centres and Nursery Centres stipulated in Law 2880/2001, with the amount of 180,546,946.51€, while 134 Local Government Organizations were subsidized in order to cover the above expenses of Legal Entities and Agencies stipulated in Law 3106/2003, including the Children Day Care Centres and Nursery Centres, with the total amount of 37,376,996.10€.